GM105: The Billion-Barrel Shock Has Not Arrived Yet ft. Adam Rozencwajg

Podcast: Top Traders Unplugged

AI Executive Summary

This transcript from the *Top Traders Unplugged* podcast features a deep dive into global macroeconomics, focusing on energy security, China's industrial strategy, and shifting investment paradigms in commodities.

The following is a summary of the key themes and arguments presented by the guests.

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1. China's Energy Strategy: Resiliency over Efficiency

The conversation highlights a fundamental difference between Western and Chinese energy philosophies. * **Resiliency via Diversification:** China is prioritizing "energy resiliency" to avoid being subject to global supply shocks. This involves maintaining a massive domestic coal base while aggressively subsidizing renewables (solar/wind), even when those sectors are operating at a loss. * **Manufacturing as Strategy:** The low cost of Chinese solar panels is seen not as an achievement of mechanical efficiency, but as a strategic choice to build scale and dominance through subsidized production. * **The Nuclear Advantage:** China is significantly ahead in nuclear expansion because they did not pause development following the Fukushima disaster. The guests view nuclear as the ultimate long-term solution due to its high energy density and carbon-free nature. * **European Contrast:** The guests argue that Europe's decision to phase out nuclear in favor of renewables has led to a loss of industrial competitiveness due to higher, less efficient energy costs.

2. The Oil Market: Short-Covering and Data Lags

Despite geopolitical tensions (specifically involving Iran and the Strait of Hormuz), oil prices have remained relatively low. The guests provide two reasons for this paradox: * **Investor Positioning:** A large portion of the recent price stability was due to "short covering." Many institutional investors were heavily "short" on energy; when the crisis hit, they had to buy back positions to cover losses, creating a temporary rally that has since faded into bearish selling. * **The Delay in Impact:** Using a "systems dynamics" analogy (stocks and flows), the guests argue that supply disruptions at a "choke point" (like the Strait of Hormuz) do not show up in global data immediately. There is a lag—potentially several weeks—before upstream disruptions impact downstream inventory and pricing. They suggest we have not yet seen the full, catastrophic impact of recent geopolitical shifts.

3. Precious Metals: Why the Shift from Gold to Energy?

The guests discuss their decision to rotate out of gold and gold miners and into energy equities earlier this year. * **Technical Exhaustion:** A massive "catch-up rally" in silver often signals a peak for the precious metals complex. * **Monetary Expectations:** The market had priced in aggressive interest rate cuts by the Fed. The guests feared that if these cuts were already "priced in," actual news of a cut would lead to a sell-off (buying the rumor, selling the news).

4. The "Chinafication" of US Economic Strategy

A major takeaway is the theory that the United States is adopting a strategy similar to China's: using state-directed investment to secure strategic interests. * **Strategic Equity Investment:** The guests suggest the US is moving toward a model of direct or semi-direct investment in "strategic equities" (AI, infrastructure, and critical minerals) through various funds and government mechanisms. * **Winners in the Strategic Shift:** * **Uranium:** High potential due to the nuclear fuel cycle and the need for energy security. * **Copper/Rare Earths:** The US may use "off-take agreements" (guaranteed purchase contracts) to provide a price floor, encouraging private capital to invest in domestic mining despite high costs. * **A Warning on Copper:** While everyone is bullish on copper, the guests note that inventories are at 30-year highs and supply is growing, suggesting the current market enthusiasm may be decoupled from fundamentals.

5. The "Hidden" Bottleneck: Energy for AI

The conversation concludes with a vital insight regarding the AI revolution. While much focus is placed on semiconductors (the "chips"), the true structural bottleneck is **energy**. * **The Upstream Problem:** The market is focused on building data centers and power infrastructure, but there is insufficient investment in "the molecule"—the actual upstream energy supply (like natural gas) required to fuel those massive increases in electricity demand. Without a massive expansion in energy production, the growth of AI may be physically constrained by power availability.

Full Transcript

I mean, it just doesn't make any sense, right? You can still benefit or protect your domestic market and not idle those refineries. And the only thing I can think of is that it's sort of like a signal to the world or a war game that, look, this is what China looks like if we're starved of imports. We're fine. And you guys have a real big problem. Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

Welcome all, welcome back to another edition of our global macro series, where, as usual, I'm joined by my co-host, Jim Cazin, as well as a returning and very popular guest to the show, namely Adam Rosenzweig, whom we last spoke to about nine months ago. Adam, it's always a pleasure to have you back. How have you been? Very good. And you guys, nice to be back. Good, good. And of course, it is an interesting time to talk about commodities and natural resources. So I'm sure it's going to be a fun and very educational hour or so. But also great to see you, Jim. I know we've done a few recordings the last couple of weeks, so it feels very familiar to be back with you and also look forward to some exploring further interesting.

deep dives that you have installed for today. So yeah, I have a lot of questions and a lot of thoughts given the current commodity situation. So excited to talk to Adam today. Super. All right. So what I thought about the way I wanted to kick off our conversation today was actually to go back to our first conversation ever, which was in May of 2022. So back then we have just had the beginning of the Ukrainian conflict. And of course, as a commodity trading advisor, where we have exposure to the underlying markets, I distinctly remember that many of these commodities had already begun and not moved, but they really saw some parabolic move higher at the time, especially things like base metals, agricultural energies.

And within energies, I think in particular natural gas from memory. Anyways, and we saw lots of commentators. I can't remember exactly. I'm sure this is normal, but of course there were some commentators out there who came out and said, yeah, this is the beginning of the commodity supercycle. Now, I know you have said, Adam, in the past that there are reasons why you didn't believe it at the time and so on and so forth. Anyways. A few months ago, we had activity, you know, another confrontation starting in the Middle East in Iran. And something on the surface at least looks sort of similar. We had already seen last year some commodity markets started moving higher, especially like precious metals and so forth. Energy complex really didn't start until sort of February of this year, but of course took a massive move higher.

once the conflict started. And then we got kind of the classical group of people coming out. And again, Adam, I don't know actually what your public conversation have been like, but I do know some of our other previous guests that we have a lot of respect for came out and talking on other podcasts and shows basically feeling that or expressing that there's almost like an inevitability. That oil had to go to 150 to 200 because of the importance of the straight of Homo's and the closure of that. So I kind of like to start there because obviously events in the last few weeks, markets have turned. We've seen some, definitely some corrections in many of the commodities and including the energy markets, albeit in the last couple of days, there's a little bit more support giving the new bombings.

Maybe we just start with that and say, okay, what do you think Adam is going on? Are there any similarities to 2022? Is this a completely different situation or you've written beautifully about some of the differences in your updates? But I'd love for you to take us through that and then we'll see where we go. Okay. Very good. Well, look, lots to unpack there and we can definitely get started. I think first and foremost to really kind of zoom out and take the biggest picture that you can. I think that what drives these big commodity cycles, and we've talked about this in the past, is ultimately the capex cycle. So there'll be a period of time where, let's say you have a deficit and prices move a lot higher and money comes in and eventually...

You start to bring on new projects or you start to sanction new projects, but it can take 10 or 15 years right for those new supplies to come online So what happens the next year and the year after that? Well prices keep going up because you're still in a deficit and just like economists have the sort of our Star mythical interest rate. I think in our industry we have a C star and just like our stars the Sort of hypothetical rate that makes everything perfectly balanced. C-Star is the perfect capex investment that makes everything balanced at some point in the future. And once you hit C-Star, again, what happens? You're still waiting for the supply to come on, so prices keep going up, and then everything after that is excess investment. So then the new projects come online, market balances, and you have this tsunami of new supply coming behind you, prices collapse, investors get wiped out, no one invests at all.

And just like on the way up, what happens on the way down? Well supply persists for a while because depletion eventually takes hold but doesn't happen immediately. And so it'll take a while to work off that oversupply until eventually it happens and the market shifts back into a deficit again. And I think we're in the process of tracing out a really, really typical commodity cycle. I think it might be more severe than in the past because we curtailed supply, we curtailed the CAPEX for longer and by a greater degree than we have in the past. There's a few reasons for that. I think the ESG movement of several years ago meant that it took a little longer to kind of normalize investment in our space. I think the carry trade that we've talked about a lot has sucked a lot of money into large cap, high multiple, high duration, low volatility assets, which is not particularly been good for our space. And so that trend is, that's a really big feedback loop that's going to take some time to break. But other than that, it's a really classic cycle. And I think in retrospect, it seems as though the cycle bottomed in 2020 with the COVID lows. And it certainly exacerbated the CAPEX problem right around that time.

And we wrote very extensively at the time that we felt we were at the bottom of a major, major cycle then. And the reason I bring that up is that, you know, in 2022, people said, oh, this is the beginning of a new super cycle. No, I don't think that the Russia-Ukraine conflict, obviously in retrospect, it was not the catalyst for a huge super cycle. I don't think that the Strait of Hormuz is a catalyst for a super cycle. I mean, all of these geopolitical events can be accelerants. They can. Bring attention to the market. They can cause people to rethink their biases on commodity trends But ultimately they do get resolved and I don't mean to minimize the the human suffering and the Physical damages that happens. But I mean, you know, I've never seen a huge sustained cycle brought about by it by a conflict On the other hand cap X trends almost always predict a major new cycle down the road. And so I think the cycle began in 2020. And I think along the way, we're seeing just acts play out in that. And I think, for instance, 2022 was an act. That was an event. And we saw consolidation afterwards. And the Strait of Hormuz is one as well. But it's all part of a much larger upcycle. That upcycle will end when the new money gets invested. And really with the exception maybe of Certainly lithium, but let's leave that aside. We've seen some money come into copper, some new copper projects coming online, but we really haven't seen anything in the form of oil or natural gas. We haven't really even seen it in uranium, even though that's kind of been a market darling. You can't point to all these new uranium companies that are bringing on production eminently.

or even new projects that have been sanctioned. Lots of guys have raised some money into that space, but we still haven't really seen that kind of train leave the station. So I think this has a long, long way to go and I think it's just getting started. Has anything, just since our last conversation maybe before Jim jumps in, but just staying with energy for a while is probably going to be a big part of our conversation perhaps, but has anything in your view kind of changed in the last six to nine months if you disregard, as you say, the geopolitical side of things where it kind of comes and goes. But is there anything else that maybe we as non-commodity experts are not paying attention to in the last six to nine months?

No, I think if you're gonna look at the last nine six to nine months I mean the big thing that's changed here is that we took a billion barrels out of the market because we shut in all these fields in the Middle East So I really do think that that is the sort of near-term driver We can talk about shale production trends and you know latent demand in the non OECD world, but you have to be a really really You know in the weeds academic to really care about those. The big thing that happened is that you shut in the most prolific oil producing region in the world for three months. Again, not going to change the long-term fundamentals ultimately, but it is a major, major shock. So let's talk about it and compare and contrast to what happened in 2022. So obviously in 2022, Russia invades Ukraine and immediately the gas supply to Europe becomes at risk and eventually shuts down entirely. As we all know, now we have Germany and other parts, but notably Germany was importing a tremendous amount of gas via pipeline from Russia. That had to be supplanted with LNG. There was concerns that we would lose Russian crude exports or refined product exports, both because of, you know, sanctions as well as physical damages and things like that. And oil prices rallied all the way up to 120. What's notable is what didn't happen. There was no disruption, essentially, to Russian crude and refined product exports. There was disruption to gas because that pipeline went down, right? But ultimately, part of that was rerouted via LNG, other parts via pipelines into China. And gas is more difficult from an infrastructure perspective. So there are some impacts on the gas market, but on the oil market, Really nothing. Russia ended up selling its crude in the shadow markets to places like India, to places like China, certainly, and others as well. But there's a huge panic. Now, the size of the impacted production back then, which ultimately wasn't impacted at all, was tiny compared to what we're talking about today.

And there it resolved relatively quickly. And people realized that Russia would get its oil out and that everything would be fine. And so by the end of the year, prices had pulled back substantially and would kind of go on to pull back over the next couple of years. In this situation, you did have a disruption. It wasn't fears over a disruption. It was a disruption. And it was massive. We all know the numbers now. It's 20 million barrels passed through the strait before. the closure of that 5 million or so is now getting out through east-west bypass pipelines in Saudi Arabia, UAE, and Iraq. But 15 million barrels a day. I mean, that's massive. That's what's being impacted. That's essentially what was shut in upstream because what happened was once you shut the straight, all these tankers inside the Persian Gulf, half of them were full, half were empty. The empty ones filled up.

And that took about a week to 10 days. And ultimately you got about, I think there's about 120 million barrels or so into that. And then eventually all of that field production had to be shut in because there was nowhere to put the oil. And so you shut in somewhere between 10 and 15 million barrels upstream. That's oil that we expected on the market that never came. And that's what you really have to focus on. Everything else gets really complicated. But that's the key point is that you lost between 10 and 15 million barrels upstream. And that stayed offline for about 100 days. So you had between a billion and a billion and a half barrels impacted. And that is just absolutely massive. And that oil needs to be made up by a couple of factors. One could be big production gains from other parts of the world. We haven't seen that.

The second could be demand destruction. We haven't seen that. We can talk about that because that's a bit of a controversial take, but we haven't seen that. The third is that inventories would collapse. That's the lever that's been balancing the market. It's been coming out of inventories. But in that sense, we saw a huge lag of about six to eight weeks from the outset of the hostilities to when we saw the inventories fall. And that's because it took time to work everything through the supply chain, if you will, until it hit inventories. If you imagine, you know, you load, you pump a barrel, it has to make its way to the ship, has to transit, has to stay in a storage tank, go through the refiner, go through distribution. It was probably 60 to 90 days. And now that we're through that first couple of weeks, the first several weeks, we're starting to see inventories just collapse.

just collapse. In the US, which was supposed to be the most isolated from physical shortages because we have so much domestic production, we're seeing US inventories collapse. And I suspect they're collapsing even faster in the rest of the world. So now that the streets open, I think the same thing is going to work in reverse. Everyone's going to expect inventories to go back up. But we're probably only halfway through the inventory draws because just like it took about eight weeks, For inventories to start declining when you turned off production. It'll take about eight weeks For inventories to start building now that you've turned it back on and I don't think we have enough in the tanks to get us there So I think we're gonna have a huge huge problem potentially at the end of the summer Can you put some numbers on when you say we see inventories collapse? I mean are there any numbers that you to kind of visualize it for the audience to to to really make the point about the impact here? Yeah, sure. So in the United States, so the other problem, right? The first problem is this physical lag that has to work through the system. So you're only dealing today, you look at numbers today that essentially reflect the reality as such as it was 60 days ago.

And that could be quite problematic when you have such fast-moving events like this. The second problem is that the only place where we have real-time data, and when I say real-time data, still subject to that physical lag, is in the United States where we get weekly data. Everywhere else, we get monthly data, and it's on a two-month lag, and it's reported by the IEA. And so we're really kind of flying blind a little bit. But in the US, we have good numbers. And in the US right now, I think inventory is from their peak or down about 240 million barrels or so. That includes strategic petroleum and commercial. And we can argue one versus the other fine. But to understand the balance in the market, you need both of them together, right? Like if the SPR had released all this oil and the market was balanced, then the commercial inventories would go up by that amount.

Right. So you need to, and you'd say, oh, the market's balanced. In this case, and I'm sure we'll get nasty comments that say, do you or don't you include the SPRs? But if you want to look at the today balance on the market, I think it behooves you to look at both together and you've drawn them down quite sharply. If you look at, again, if you kind of work off the assumption that you have withheld about a billion barrels from the market, maybe a little more, And you think we're halfway through inventory draws at this point. And the United States has drawn down about 200, call it mid to 20 to 30. That would suggest maybe for the full situation we could be down close to 500 million barrels in the United States, which would put.

Inventory draws on a global basis probably pretty close to a billion barrels. So that all kind of triangulates in and we just we just don't have that amount of oil and That was my question because I heard that that total inventories in around the world is something like seven eight billion I don't know if that's a true number but but what just and then I'll pass it over to Jim But what so when you say we could be down five hundred million in in you know in the US alone out of how many, so to speak. Sure. And that's a really good point. And it's probably subject for a whole podcast, albeit it would be a pretty dry podcast, but somebody might find it interesting. So yeah, you do see numbers like 78 billion barrels of total inventories around the world. But what people fail to appreciate is that very little of that is actually available for use. And that might seem counterintuitive, but it's really the difference between working capital and true discretionary savings, let's say, right? So for instance, what makes up part of this 8 billion barrels? Well, part of it is simply all the oil in the world that is filling pipelines. That's considered storage. I wouldn't really consider it storage. You can't access it. I mean, the only time you could access it is when you decommission the pipeline and you drain it at the end, I suppose you access it then. But for instance, a pipeline...

You can control how much oil passes through a pipeline by changing how hard you push at the start of it, right? How much pressure you put the fluid under that determines how fast it moves. And so how much the throughput of the pipeline can vary, but you can never vary how much oil is in the pipeline. That's a volume figure and that has to remain 100% filled. Otherwise you develop these air pockets and you start to blow out your pumps fairly quickly. And so that amounts to about I think 2 billion barrels on a global basis So already 25% of your inventory isn't really inventory at all. It's just line fill then you have the export market is like a 80 million barrel a day market and it takes about 20 to 25 days to do an average vessel or transport transit for crude and so if you take 80 million barrels times 25 days you're at 1.7 billion barrels. So that's oil that is on the water, but it has to be on the water the only way that you could conceivably Access that oil is if you reduce the size of the seaboard and trade of oil And so and that in fact would make the markets here tighter or most parts of the world tighter The last part that again people don't appreciate and it might sound ridiculous but If you have a storage tank for crude or refined product, you cannot access the bottom 10% of it. You put the spigot above the bottom of the tank floor so that you don't get sediment that collects and blocks up your pipes. And that amounts to about 10%. So it might sound, again, kind of inconceivable, but you actually can't get it. You need it to be there.

so that you don't gum up the whole system, but you can't actually get at it. So you make all these adjustments and you look at what the absolute minimum would be before the system really starts to break down. And we came up with about a billion barrels and JP Morgan came up with a number that it was a little bit vaguer. It was a range. It was a good sell side report. It was actually really good sell side report because it was very diligent, but you know, it really couldn't be proven wrong in any way, shape or form because it had a range and a whole series of possibilities. But they said you have somewhere between 700 million and 1.2 billion is where you start to 700 million to start to develop pressure in the system. And 1.2 you have a catastrophic failure of the system. And that's going to be right around where we're where we're going to get. So actually, I'm going to jump in here. I think that leads right into a couple big questions I had. And, you know, one of them is You know, how much is actually strategic reserves in the world? I know if I'm not mistaken in the US we're down to somewhere around 330 million barrels, maybe 320 now I think we're drawing at five to six million a day correct me if I'm wrong any of those numbers Adam you would know better and I've heard that we have a Bottom is this is debated like to how low that can go in the US Somewhere between 150 to 300 million barrels based on a lot of unknowns which are you know Will the strategic reserve collapse because it's the lowest we've been in since 1982 and there's tons of Pressure that builds during that period and then when you all of a sudden drawn it very quickly that creates potential structural problems Sure, these are all questions I have related to the US, but I also want to understand more globally just for the audience How much reserves are there in terms of strategic reserves? And where are we in that picture? And how quickly are we drawing globally? And I know we don't know all the details, but I'd love to get a shape and feel for that, both in the U.S., which I think we have better numbers for, and globally as well. Yeah. If you looked at the U.S. Strategic Petroleum Reserves, your numbers are pretty close. On the OECD basis, we've agreed to release about 400.

Million barrels in total and we're we're awfully you know, we're running a little bit behind on that We're kind of halfway through that and running a bit behind the original schedule. I don't think that there's another huge Trunch of SPR releases that you can do after that. I think there's a couple reasons to think that first of all, I think that when Hostility started there's obviously a lot of concern about rising oil prices and I think the OECD, which is 80% funded by the US, wanted to pour water on that. So I don't know why they would not announce the biggest cut that they could deliver. You know, announce it and then don't bring it if you don't need it, right? But just announce it anyway and just kind of get all the...

concerns out of the market, and then you start to release it over time. You can ultimately do whatever you want in the first place. So I think there's a lot of reason to believe that 400 is on the upper end of what they can possibly do. In the United States in particular, what's a bit strange is that we don't use above ground tank storage for SPR. We actually put oil and gas into these depleted salt domes, old oil fields essentially that are impermeable and can take a huge volume of liquids. And that's why there's such an ambiguity, right, as to how much you can ultimately draw those down. So right now, I'm sorry, I keep looking off screen. I just wanted to pull up the right data. You're right now, you're down at 319 million barrels. You've taken the strategic petroleum inventories in the last couple of months down by 100 million of that. You are, like you said, at the lowest level since the 1980s. So presumably we could operate back then, but putting it in and taking it out or not really exactly the same. It's a difference in pressure regimes and it's a difference in ability to get oil back up the wellbore. So the short answer is nobody knows. I suspect we can go another, you know, 50, 60 million from here without too much issue, but you're down in uncharted territories and you're getting very, very, very near to essentially being at more problematic levels with your SPRs.

I'll go ahead. Is that daily draw number of about five to six in the neighborhood of what you know? That seems a little bit high to me because again, if we've kind of done 90 million, 90 odd million barrels over the last three days, you're closer to a million, two million. So I think you're usually kind of six to seven million barrels on the week. Okay. Okay. Interesting. And then globally, like U.S. And again, the numbers I understand are gray and it's hard to get exact numbers, but just to get the shape of it, how much US oil reserves relative to let's say global. And I know China, maybe we should bring China into this here, how much, I know they built tremendous reserves going into this. Any sense of where I can talk about opaque, I know it's difficult, if it's hard in the US, it's probably impossible in China.

But any sense you can give me on kind of where China is, On drawing that how much they can release that degree as well. Yeah, so from a OECD perspective the US is the big player Japan has an SPR as well. Europe has very meager SPRs When you look then at the non OECD world essentially no one has a material SPR except for China and there's very very good reasons for that China obviously is now the world's largest crude and oil product importers in the world much more vulnerable then even the United States was let's say back in the early 2000s, right? When the situation in Iraq was escalating and everyone was starting to kind of freak out about how vulnerable we were to Middle Eastern career. China is much more vulnerable today than the United States ever was. And so they've been building up a large strategic petroleum reserve. Nobody really knows how much people try to guess all the time. It's largely conjecture and it's done by making estimates for Chinese demand.

domestic production, looking at imports, and then storage levels. Each of those is an opaque number, and your strategic petroleum is the balancing of all of those, right? So, I mean, those numbers can really be off by a lot, and the truth is no one really knows. But for all intents and purposes, they've built up kind of a billion barrels or so, a fairly large SPR figure. Now, again, that's a very different SPR. than ours for a few reasons. One of them is politicians in the United States have this perverse incentive to release oil from the SPR. It's a source of funding at times. It can depress oil and gas prices going into elections at times. In China, it's really a little bit more strategic. They view the ultimate outcome of an invasion or incursion into Taiwan as the US shutting off the Straits of Malacca and Hormuz and ultimately sort of trying to make them very vulnerable to energy shocks. And so they built up this very large strategic reserve to protect them against that. I personally think if you look at what China has done since the start of the Hormuz crisis, it's a little bit of a war games or a trial run of what they would do in the event of going into Taiwan. So for instance, the day that the straight was announced shut, China made an announcement, which is still in effect to this day, where they essentially banned the export of refined product. So you have to understand how China's oil market works. They produce some production domestically. They import a lot.

of crude, they refine into a lot of refined products, they consume a lot of that domestically, and then they export a lot internationally, particularly to the global south or the non-OECD Asia Pacific world. They're sort of a toll refiner for the rest of the region, if you will. And the day that this straight closed, they said, we're not doing that anymore. Refined products or exports are done. And what did that mean? Well, that meant, of course, they didn't need to import as much crude anymore. They didn't need as much oil because half, not half, but a big hunk of the oil was going domestic and a big half was going out for exports. And so that had a couple weird unintended consequences. It actually pushed some crude volumes back into the market because we didn't have other refiners stood up ready to take that oil. So if you're a crude trader, all of a sudden you're seeing China No longer taking the vessel and actually diverting the cargo and selling it back into the spot market But what it importantly didn't do is it didn't destroy downstream demand people didn't stop burning gasoline diesel and jet fuel It's just that your refiner in the middle essentially stepped out of the market and so that had the huge impact on inventories of refined products for instance, right? But it does beg an interesting question. Why would China?

Do that. Like, I understand very well having a preference towards your domestic market so that you have security of supply. But once you've hit that level, why would you keep importing those other cargoes that instead you sold into the market, run them through your idled refiners, make a mint on the crack spread and sell the refined product back into the world? I mean, it just doesn't make any sense, right? You can still... benefit or protect your domestic market and not idle those refineries. And the only thing I can think of is that it's sort of like a signal to the world or a war game that, look, this is what China looks like if we're starved of imports. We're fine. And you guys have a real big problem. Yeah. It is interesting. This is kind of the next thing I wanted to ask. And then you kind of stepped towards that. Let's continue with that, which is, you know, postmortem on the last three, four months, right? It didn't go exactly as most people expected. And China obviously played a huge role in that. But I'd love to hear your analysis of other than, let's say, positioning, right, which is obviously critical in the market. But like from a structural perspective, other than China, what were the other major roles? Because the straight really never really opened, not for long.

Nothing has really changed yet we're now well beyond what people thought would be a major crisis moment. Why are we not at an energy crisis? Why is oil at 75? Talk to me a little bit about your analysis of actually what actually played out so far. And I think from there, we can start talking about how does that change and when does that change? I think that's really what we're getting to if. the straight continues to really be closed regardless of narrative. Well, so listen, I think a couple of things, right? I think that it's a little early to do a post-mortem here, because I don't think we've seen the impact of the... Closure work itself agree. I'm saying to this point right things have definitely yeah postmortem relative to where we are right now Yeah, but you know, I think I think we're basically halfway through those inventory draws and so we still have a long way of pain to go and I think from a psychological perspective assuming the straight reopens and stays open it's going to be very psychologically odd for people to have the straight open and Transits going up and inventories plummeting. It's going to be the mirror image of what we had for the last six weeks, which was, I would get phone calls every day saying, why aren't inventories collapsing yet? If the straits closed, you said, just give it a little bit of time, guys. It has to work through the system. And now you're going to get the opposite, right? Where everything's going to be open, maybe. Let's assume everything's open and everything's flowing and inventories are still going to start collapse, keep collapsing. And I think that's going to be very, very, uh, discongruent for a lot of people to get their arms around. But as far as the things that really kind of have been different than, than I suppose we would have expected, It's really been China. That's been the number one thing. And that's really obfuscated a lot of the data because you have to remember for the most part petroleum demand is not actually a measured figure. It's a modeled figure. And what are the inputs in the models? Well, there are a few things in econometric go.

macro assessments and stuff like that. But one of the things that goes into that econometric model is refinery runs because it's a hell of a lot easier to look at a couple really big pipes going into big refineries than it is to track every gas tank in the world to see how much is actually being burned. And refineries in general, they're not in a speculative game. They don't, you know, do do runs on spec hoping to place that they know what what the end users are demanding. right? And they provide that into the market. So it's a pretty good real time gauge, right? Of end patrol patrol event. Product supplied is oddly what the industry uses to refer to demand. Who figured that out? I don't know. But product supplied is actually demand. And it's usually a measured or modeled figure through refinery runs. Now, if you start changing the entire refinery complex like you are today, That makes the data very very difficult and so we've seen a lot a lot of Media outlets and energy agencies report a five to six million barrel a day demand destruction figure Which would be very consistent by the way with how the refinerers are acting Yeah, if you take off all this Chinese export refinery capacity and you run that through the bottle Yeah, it looks like demand fell by five or six million barrels But it might not have and if it didn't then you're really kind of Dwindling your inventories very quickly and running into a problem very very very very fast and to put that in perspective 5 to 6 million barrels of demand destruction That's like what we had during COVID and you know, I've been traveling a lot recently The airports are packed. I can't get a seat on half the flights Vehicle miles are up This is not COVID Nothing close to COVID. So I don't think demand is is weak, but I do think that the data has become very difficult to parse, because you have what is normally a, albeit volatile, but a market that is, its pieces are an equilibrium. You know, everything is kind of normal, right? And in the oil markets, people might roll their eyes at that, but it's certainly normal compared to today. Today, you have shipping bottlenecks, you have refiner shutdowns, it makes it super difficult to parse. That's probably one observation that I would have. And the China piece to that is having a huge impact. Most recently, in the last, call it two weeks, The thing that's really impacted in the oil market is that as you opened up the straight, you had a lot of vessels, twice the normal number of vessels, if you will, that had been trapped in the Persian Gulf that are now trying to get out. And that results in a one-time de-stocking, if you will, of oil and water. And if you're an oil trader, you have to bid for that.

at the same time as your biggest customer, China, is not really taking the same level of imports that they were before. And you're using price to clear that market. And I think that's really kind of what you're seeing in the most immediate term. And it has no impact on the medium or the longer term, which is much more bullish. So an interesting question that I don't hear enough about, which I think is really important, is in the last 10 years or so, China has dramatically increased alternative power internally to China. Very strategically, solar, wind, hydro, grid improvements, storage, and then they've increased obviously these SPR, et cetera. We don't know the extent, but how much of that given that China is one of the greatest sources of demand from power in the world really may have actually, and again, I don't know how much we know about this. Maybe you have better insight, may have reduced demand for oil, right? Or other more kind of carbon-based energy. And how much of that might just be China being just saying, you know what? We're going to flip it off for a while, and the rest of the world hasn't built any new power on the whole outside of China. Basically saying to your point, war games, you know, All right. You want to play this card? Go ahead. We'll be all right. Let's see how you guys do. And talk to me a little bit about that. Maybe how much of it is, is, oh, we have the reserves. We're okay for now. We're going to turn this off. How much of it is long-term effect, I guess, is my point? Yeah, sure. I think there's a large part of that. I would debate perhaps the long-term impacts.

or a bit of a different question, but I do think that when you look at China's energy policy, there has been quite a bit of importance and emphasis placed on resiliency and diversification. I think precisely for the reasons that you were talking about. China has a big domestic coal base. They have some oil and gas as well, but they have a lot of coal. They've been pushing renewables, even though most of them are likely operating at big losses. As far as their manufacturing, people say like, it's been crazy how cheap China can get solar panels. It's because they're not making any money making solar panels. It's part of an energy diversification resiliency. We haven't improved the mechanical processes of polysilicon and photovoltaics to the point that they can see their costs reduce that much. I've done a lot of work on that.

And so that's a huge part of their, I think there's a huge part of their long-term plan. But I think it would be foolish and incorrect to say that oil's not a part of that. You know, oil is the dominant part of that. I think in general, there's been a push to diversify on the margins as best they can, but that doesn't mean that they no longer- Is it just on the margin though, Adam? Because, I mean, I've seen figures, and you would know better than I do, that show dramatic power output increases. outside of oil, right? And once they build that capacity to produce, why isn't that a long-term effect? Why doesn't that serve as some form of substitute for oil? I mean, we're talking about the biggest demand for oil in the world, and we're talking about a scale of production growth as a replacement to it. I just don't understand why we should be skeptical of that.

I'm open to the idea. I'd love to hear your thoughts on what. Well, I don't think that you need to be skeptical to it, but I think that, again, if you would like to sort of think through a country's energy source and how it's going to power itself, okay? There's a very very strong argument to be made for resiliency so that you don't have all your eggs in one basket You're not subject to major shocks and disruptions However, presumably there's also some level of importance to be placed on how efficient that energy source is I mean just ask Germany right now, right? Germany has decided to go down a renewable path and get rid of its nukes and go towards renewables And they're seeing a massive lack of competitiveness as a result, and ultimately seeing manufacturing capacity move away, et cetera, et cetera. England and the UK the same. Other countries that have more of a nuclear fleet, they're doing better. And countries like the United States, where ironically it's tried to bend a little more hands off and more market driven, have seen both the biggest percent change in reduction in CO2 and the biggest efficiency improvements across the board.

There's very, very in my mind anyway, and we can debate this point, there's a huge, huge connection between an energy source's efficiency and the ultimate downstream output and productivity you can drive through an economy. And I think that we're seeing that in real time in places that have adopted suboptimal energy mix policies throughout Europe. In that framework, yeah, China has a big, big, big desire to push resiliency. And they want to make sure that they can withstand shocks, but they don't want to do it at the long-term expense of ultimate efficiency. And so that's where I think hydrocarbons still play a role. I don't think you count them out of that mix. What about the nuclear build out? I mean, they have about 40, I think, nuclear projects up and running, adding more like every month or two. Yeah, absolutely. You know, obviously there's a five, 10 year.

Process depending on the size of the reactors and you probably maybe even longer you would know better, but it feels like they're bridging to that Yeah, I think they're doing a better job in that than most other countries in the world They've never really slowed down post Fukushima Whereas the rest of the world kind of went through this cycle and is now coming back on things and I think that is very very productive for their efficiency and end uses and things like that. And I do think that nuclear power, we've talked about this quite a bit, nuclear power is by far the most efficient source of energy in the world, order of magnitudes, more than chemical energy released through essentially breaking of bonds between carbon and oxygen. Splitting the atom is much more energy dense than that. And I do think long term that is our future and our solution. I don't think the...

Numbers that are being put forward in China even even the huge numbers that they are are going to be enough to really displace oil in our call it investment lifetime of the next Pick your number 15 20 years, but I think that after that Yeah, absolutely nuclear Is certainly the future because it is both carbon-free and highly highly efficient quick question on that so Jim and I we had another popular guest on the show last week, which was Pippa Malkin. And she talked about, for example, in Texas, where there was a firm that had managed to build a small nuclear reactor with 300 people in 365 days and so on and so forth. And kind of looking into the future of these things, you know, obviously, these things a lot better than I do, but...

And in particular with commodities, I would have thought that often prices can move a lot only if actually it's the marginal change in terms of too much supply or too much or too little supply. So I mean how and maybe I wanted also to ask you if you're if you're surprised given what you just explained and I thought that was incredibly insightful and I think really. I learned a lot from all of these numbers, but are you surprised by how quickly oil prices have come down given all of the things that you are sharing in terms of the inventory being drawn down so massively? It strikes me as very odd that we're down to more or less the same price that we came from before the war even started. Yeah.

I think that if you look in retrospect, I don't know that we fully appreciated this in real time, but if you look in retrospect, positioning of investors and speculators going into March 2nd was super short, super, super short. And when you go back and look at the different newspapers, a lot of the big multi-strat funds fired their whole energy desk on the 4th of March. Now, I'm not in HR and I've never worked at a multi. Strat pod shop but presumably With the war in Iran just starting and ramping up you might want to have somebody on the desk that knows the oil markets And so I suspect that the only reason that you fired all of them was because they were hugely short hugely short going into that either short vol energy vol or just short energy outright And and we actually did get a very big short covering rally that last the kind of the first two weeks of the crisis. And since then, there's been a huge amount of downward pressure on oil, just a huge amount of bearish selling pressure that's persisted and then got accelerated when a ceasefire seemed likely and then accelerated even more when the ceasefire came to pass. And so I would actually argue that for the full year, people have been bearish.

There hasn't been this kind of everyone talks about the round trip. I don't really even see a round trip I think people have been pervasively bearish and they had this covering rally that lasted a couple weeks that kind of Put a bid under the market and then it just faded and the selling pressure resumed again And I think that that's really predicated on this view that we have a big surplus You know absent what's happening in Iran the markets in surplus and that's something that we've never really agreed on or greeted the market on because Inventories last year were actually fairly stable. They went up a little bit, but not nearly as much as they ought to have if, in fact, we were in this big surplus that everyone said. And so our long-term view has always been demand has been a little bit stronger, quite a bit stronger than most people appreciate. And because of that, we're not going to go back to this world where where we have this big surplus, we're going to go back to a world that's kind of balanced. And inventories now are really, really low. So our viewers just been fundamentally different throughout this whole thing. And I don't really think that investors turned bullish and then turned bearish again. I think they've been bearish throughout and just forced themselves to cover some of that exposure, appreciating that there might be a right tail on crude and energy. I mean, my view is that there hasn't been a ceasefire. There's no real ceasefire. I mean, we're still, yes, there's taken pauses.

briefly along the way. But anything that's been called a ceasefire or peace, I mean, I think we're keep characterizing it as there's some type of deal. There's no deal here and there hasn't been. And candidly, we can get into the incentives of why. I think they're from both sides. There's no willingness to have a ceasefire. The only reason the narrative is even there is because of the midterms. And so let's assume that this straight never. Reopens or not at least for not till June or September that it has to resolve by military force one way or another what you know What's the timeline? Given that assumption Because again, I think most people would have said a month or two and we're a month three and now we're you know hearing from you and others a totally different timeline, which is we're halfway there You know, how do we judge that timeline?

Yeah, no listen I I think we were guilty probably of thinking things would happen a little bit quicker than than they did Although you know in reality It's it's a little bit difficult to say until the data is finally in quite frankly right because the US being the most insulated market in the world It's taken this long to show up in the data the data that we're seeing in the rest of the world is looking pretty darn bullish too I mean inventories are really coming down. What we haven't seen is is a catastrophic, the equivalent of when oil went negative back in 2020. I would have thought we would have seen that by now, but I'm not willing at all. So long as inventories continue their downward trajectory with every data point that comes out, I don't think we're out of the woods just yet. And so I think that the trajectory is really showing you what's likely to come. And as far as the timing goes, I don't know.

I suspect that again, if you kind of just look at, and this is a bit of a naive estimate, right? But if you look at the fact that it took kind of six weeks for the straights to close before we saw it in the U.S. data, the most real-time data that there is, is there a symmetry in that? it'll kind of take six weeks from when the straight closes until the worst of the inventory data works itself through. I kind of feel that that's probably right. And if you kind of triangulate that, we're about halfway through it right now. I'll tell you kind of a funny story that maybe kind of proves this point, okay? And I'm not trying to be, I'm not trying to be flippant about this or anything or blasé, okay? So there's a field in...

business logistics called systems dynamics, where you essentially try to map out a really complex system using stocks and flows and feedback loops and gates and conditionals and stuff like that. And what you end up with this is crazy maps, right? And it leads itself, for instance, if you want to look at a mine, you have the mine, you have the pit in the underground, they're going to go into a crusher and a grinder, that's going to go into a flotation tank, and you want to see where your bottlenecks are. And you want to see where you're going to spend capital to deep bottleneck. As soon as you do bottleneck, some another bottleneck comes up. So they've developed these really complex computer systems to try to do that. So right when the straight closed, we tried to build a really complex one and it had field level production and on.

shore storage tanks, and then on shore storage tanks loaded vessels, right? And then that had a rate and a limiter, then vessels had a certain amount of days on the water. And there was a choke point now in the Strait of Hormuz. And how did that impact the on shore receiving turbo? And we built this whole thing out. And then you press the button to go say, what happens? I says, well, you're going to take out a billion barrels upstream. And at the end, you're going to have a billion barrels fewer downstream. And you kind of like chuckle. You're like, yeah, I guess that's right. And in the middle, it all whirs and this level goes up and this hits a bottleneck and that reroutes here. But at the end of the day, you take a billion barrels out upstream and you have a billion barrels less downstream. There's really not a lot of getting around that, okay? And we're not through that yet.

We're just not through it yet. So is it this week, next week, a month from now, two months from now? I'm humbled enough to appreciate that a lot of these things change in real time. But what I can tell you is that you cannot take a billion barrels out upstream and not have a very, very, very significant impact on global energy markets. We're not seeing it now. The best argument I get is that something that we can't see must be happening because there's no way that the fundamental story is this bullish and the price is this bearish. And that's a dangerous, dangerous trade to make because it doesn't allow for the possibility that the market's wrong. Yeah. I think what I'm gathering from this is that that big unknown and that big powerful kind of lever that's unknown is China. And China has incredible scale and capacity and ability, potentially long-term disruptive, we don't know, disruptive ability to change the price supply and demand forces with an energy at this point. And we really just can't judge that. And that's the big question. I haven't heard enough research on where China is with other power relative, how much that is drawing, how much And it seems like that's the real question here, because if they are really the one who drove dramatically different outcomes relative to expectations, I think that's the thing we all need to dig into a little bit more and understand a little bit more. And maybe that's hard. Maybe it's impossible, because China's opaque. But that's really what I'm gathering here. And I still am not sure whether we have any real insight on whether they can't just continue to keep oil prices low throughout.

Well, that's sort of where it stays closed for another nine months. Well, look, and that's the part that's really the big question for me, is like, what do we really know here? Is China able to control this full outcome or is that not the case? Sure. So, look, one thing that I will say to that end, okay, because I think you're conflating, perhaps, Short medium and long-term issue here, okay? So over the long term how China is going to determine the path of its economy and how it's going to choose to try to power that economy are obviously really important discussions and and decisions And and we'll have a major major impact both on the energy markets and on their domestic market and probably on global economic activity as well, okay and Does it behoove us to study those in depth? Oh, absolutely. It certainly does. And I think those are going to be some of the profound questions that we have going forward. In the short term, I think it's super clear what they're doing. They're drawing down their stockpile of crude and refined products to benefit their domestic market. They haven't turned over their entire auto fleet quietly in the last 90 days. Okay. Whatever they were demanding back in January is going to be approximately what they're demanding today. And they're not and they're they're choosing to essentially prioritize their domestic market. They have then chosen to not export refined product to the rest of the world. This is no longer a China story now. This is impacting the rest of the world. And the rest of the world has responded by sucking every spare barrel of refined product.

in storage as best they can. And we're seeing big shortages and we're seeing dislocations. We're seeing massive crack spreads. We saw earlier this year, Lufthansa cancel a huge number of flights because they felt looking at the numbers, they wouldn't be able to get procure access to jet fuel now. Big rearrangements have happened where the US has had some excess capacity of not the right kind of jet fuel because it freezes in Europe in the winter But it's the summer everyone realized like so all these things are kind of leveling out right but You're you have a massive in the near term a massive massive drawdown In stockpiles and it's stockpiles mostly refined product that I think is the real pinch point in the medium term Essentially bridging that short term, which I think it's quite clear what's taking place in the long term, which is a little bit more opaque. You know, what does that look like in the fall and in the winter? Again, a lot of these big questions take a lot longer to turn. China is not in a position today to fundamentally change how it consumes energy. It's not able to say, you know what guys, this is the new normal. We're not going back to needing very much oil. That I think is a very, very low likelihood event in the next.

12, 18, frankly, probably five years. Over five years, I think you can begin to turn that ship, but that's a big ship to turn. All right, I want to shift gears if that's okay to a few other commodities that we don't have a ton of time left. But one, I think important one that we got addressed is gold, right? Gold has had, not surprising from my view, some real volatility this year. I think everybody got very long of gold, and there's several dynamics we could get into, but you know, We talked how 68 to 82, gold was the best performing asset by far. The point I tried to make early on was that the one of the most interesting things about the move that we had had so far is how relatively not volatile it had been. And 68 to 82, gold was actually the most volatile asset in the world as well. And so not a full...

kind of surprise that we're getting the drawdown in gold that we have. I'd love to hear your thoughts on when, how that might turn in your views, what's affecting it and your thoughts on gold at large. So we were very, very long gold. We don't invest in the commodities, we invest in the equities. So we were very long gold miners through 24 and all of last year. And then we sold most of our positions. We did two tranches, a small sale at last October. which is mostly valuation driven. The gold oil ratio was starting to get pretty stretched. And then of course, but we kept about two thirds of our positions. And then we sold them almost entirely in January. And, you know, our fundamental calls are usually awfully good. Our timing, I would say is average. And in our January sale of gold is really good. It was really, you know.

We owe the timing gods one on that one because we got that one pretty good within about three days at the top of gold there, and three days before the top of gold. And we rotated it into energy. And what did we see that concerned us in January? A couple of technicals and a couple of fundamentals. So first of all, Silver staged this massive catch-up rally. And we've always been of the opinion that when, you know, Silver tends to lag Gold for a long time, and then it stages this massive catch-up rally. And when it stages that big catch-up rally, that tends to be a good time to step away from both Gold and Silver, all precious metals. So we got that in January. Gold clearly was kind of going parabolic, just the way it felt. You know, you could look at it on a chart as well. January started to get a bit toppy.

Um, although we're not, you know, traders were investors. So, but, but you could, you could feel it in January. Um, the other thing that was a bit concerning to us was that ETF accumulation of gold, not so much gold equities, but gold got quite robust in January. And, and we felt that that was kind of fast money that could come back out if things turned and it did started to. And the last thing was that the market was really pricing in three cuts. And we felt that that was potentially overly accommodative and a little bit too dovish of the market. But the prevailing wisdom was that Worsh was going to come in and cut rates and do what Trump had asked him to do, et cetera. And we were a bit concerned that Worsh had this hawkish background. And in general, if everyone is already pricing in three cuts in an expansion economy, it's like that seemed a little bit much for us. And we thought that you could actually get cuts and gold would sell off because people had kind of bought the rumor and might sell the news. And so for all those reasons, we said, ah, it's time to rotate into energy. And so when people ask what would we look for, I guess it's on some degree a reversal of some of those things, right? If all that ETF length came back out of the market, I wouldn't be so worried about that.

if everyone started assuming three hikes or four, whatever, you know, to the point that we felt that even a hike announcement might deliver a rally in gold because people had shorted gold on the rumor would cover on the news that I would like. Again, if we saw the gold to oil ratio swing back in gold's favor, which would be quite a sharp move from here, that would be appealing. And then there's kind of precedent and analogs. So if you look at past consolidations within a bull market, which is ultimately what I think we're in here. 35% is not uncommon, 40% is not unheard of. That's what happened in 73, 74. That's kind of what happened in 08, 209, whatever. And now we're not anywhere close to that yet, about halfway through to that. And historically, that's lasted about two to three years before you've really kind of entered into a new rally phase.

And that part I'm probably less concerned with. For instance, if I got every other major data point there, but it happened fast, I don't think I would be, I don't think I'd say no, let's leave it for a bit. I think that would be okay. But historically, this would be short for a retracement. It would be shallow. And it doesn't address any of the fundamental drivers that give me pause with gold. And then my kind of funny tongue-in-cheek answer is that when everyone stops asking me, that's when it will be time to get back into gold. Because right now the number one question I get, people are desperate for us to go back into gold. They would love it. If we sold all of our energy tomorrow and bought gold, they would love it. And that's not a bottom. That leads me into my last question. I'm sure Niels may have some others, but I have a view that the US is preparing it as a tremendous strategic.

Departure from what it's done historically in terms of how it runs its investments and its approach to run the economy. I believe with the launch of the strategic, you know, wealth fund, the sovereign wealth fund, I apologize. Trump accounts, et cetera, not to mention all the significant kind of investments we're starting to take in different strategic businesses, that there is a concerted effort. And I think this is just the beginning of really building investments of five to 10% in the next 10 years in U.S. equities, strategic equities. And I think of this as the Chinafication of the American system where China has succeeded tremendously by direct investment to corporations, sometimes at a loss, right, as you highlighted. I think the US is going to do that with American characteristics, which is do it through the equity channel. And I think we're preparing to do that. And I think it's going to happen way sooner than people think. I think it's already starting. They're already creating all the infrastructure for it. And I believe that's coming really post midterms, you know, but before.

June of next year. All indications by speeches given by the Senate and others kind of dictate this. I think we'll lean all over the U.S. dollar as our kind of primary reserve and yes, our primary lever via, you know, versus China to make that happen, you know, create dollars out of thin air at scale to compete at scale. Given that view, and I think we're already starting to see more and more strategic investment in driving, again, not not billions, but I think eventually trillions of dollars into this approach. And it's not just AI, by the way. I think it's broad US infrastructure, rebuilding and competing with China at scale. What commodities, if you took that view, would you be most bullish on given if that's what the next three years?

is going to be the driving force in the next few years. One, the gold conversation becomes more interesting if we're just going to print dollars at scale and buy equities, which again is what I'm basically saying. But what other more kind of strategic commodities look interesting to you? Where are you focused if that's the world we're heading into? Now it's an interesting question. I do tend to like free market things and so you know the idea that the government's going to come in and help and that's our answer to all these questions Gifts me a little bit of mix the hairs on the back of my neck to end up a little bit, but It does seem as though we're trying for that obviously the US and the Department of War has made some strategic investments into mining assets Etc whether it be copper assets or whether it be rare earth offtake Etc You know, it's interesting. If you think about where, if you're asking me, where do you play the beneficiaries of more government involvement in the commodity sector, that might not be the same as what I think are going to be the biggest winners in the commodity sector, right? Because it's entirely possible, for instance, that the United States would do things that are non-economic or less optimized economically.

but important strategically. And I'm thinking, for instance, of like granting off-take agreements to rare earth companies where they're putting a price.

I'm talking strategic. Yeah, a price for a profit. And they're doing that so that these guys get the right capital signal to invest and they know that they can have a floor in the market, right? Or they can definitely get their cash back out from making expansions, et cetera. That's a path that historically we haven't gone down too much. So I think you're going to see that in the rare earth space. whether that's a good long-term investment or not, I'm not sure. You're certainly going to see that I think in uranium, both uranium mining and uranium fuel cycles. So the enrichment and ultimately the fuel fabrication of uranium fuels and going from essentially mined material into enriched fuel rods suitable to be put into nuclear reactors. I suspect that copper will be a fairly important strategic mineral for the government. We've heard that. We're seeing that. Copper is a nice one from their perspective because it's a big enough market that I think that they can go in and reliably help push new projects forward, et cetera, while also not being the only source of capital in a tiny little market. You can quickly overwhelm private capital if you went into other things.

So you might see that. Ultimately though, copper, I think realistically, where prices are today, where investor enthusiasm is today, is completely out of whack with the fundamentals. So I mean, we look at the copper market and in many ways it's the antithesis of oil, where oil, the fundamentals look great, inventories are low and now drying and no one's making any investment into the space. Prices are depressed and valuations are attractive. In copper, prices are all time highs, nominal, near all time high real. Everyone's bullish. Everyone's bullish copper. And actually, if you look, copper mine supply last year grew at a really fast clip. It catches a lot of people off guard when I tell them that because the prevailing wisdom has been that we can't grow copper mine supply. It's growing awfully quick. Demand.

particularly in China, sort of stagnated in the last 18 months or so. And as a result, inventories are just swelling. They're up to 30-year highs. And so that's kind of an area that I think the United States government is putting a lot of time and focus. Will that be a good call long-term? I'm not so sure, but I think it's going to happen. Got you. Anywhere in that, in the high space or any other space where there's a commodity, and maybe it just doesn't exist because it's all been stretched, but where there's where there's something that is relatively cheap that would still be, that would both align with a long-term view of bullishness, regardless of this view, but also might benefit from a strategic investment perspective. Energy, US government. Energy. Energy. It's not in the chipsets. It's what's powering them. I mean, it's just amazing to me, still to this day.

people can't get their arms around the energy side of this angle. And even when people have, even when that's become like a big focus of conversations, what they really want is they want to build the power plant. But that's not energy. I mean, that's a piece of infrastructure that converts energy into electricity. The problem is energy. It's the upstream problem. They want to build the pipelines and own the infrastructure. Nobody wants to invest in the molecule. of natural gas, let's say, that will inevitably power this data center. That's the biggest opportunity that exists in the market today, whether it's AI or not, quite frankly, but AI is a big beneficiary there. But everyone's so focused on a super obscure specialty metal that could be the next thing that's needed.

you know, inside the data center, whatever that's going to be, it needs to be powered outside of the data center. And those numbers are astronomical and nobody is paying any attention to that. Full circle. Thank you. Full circle. Not to speculate too much and not to leave things on a cliffhanger here, but I do hear our mutual friend Pippa Malmgren talk about new sources of energy that, you know, maybe only the military and all of that knows about yet, but where you can have like a handful of whatever they're called and they can power like a whole city. I don't know. Anyways, we'll probably come to that. But I do want to give you, Adam, a chance to bring up anything that we... I mean, it's been an energy really conversation today and that's great. That's exactly what I think is needed at this time. But is there anything else you want to...

leave the audience with before they should go in any event and go and check out your research, your fund, which has done great over a long period of time. Anything else you want to draw attention to? No, look, I think we've covered so much in this past hour. I almost apologize to anyone listening because I do appreciate that it's incredibly complex. There's a lot of moving pieces right now. You know, we have to spend days just sort of sorting through what should normally be a fairly, you know, if not certainly volatile, but a steady equilibrium kind of a market where you can see supply and demand here, you can see its impact over there. Right now you have all this obfuscation and all this complexity in the system. And Nevertheless, I don't think the chapter is fully written on what's happened here in the last three or four months. I think within three or four months it will be. And I think we're going to have a very, very different view of energy markets after that. And if at that point, you know, there doesn't seem to be any impact of any of this, that you have to reassess your views. But I think you need to wait till those next cards get flipped over to really see what the true impacts have been here. And that's going to happen. I suspect in the next three or four months.

Well, you know what that means, Adam? That means that you're going to be back in three or four months to part two of this energy conversation, which I'm sure many people will always already look forward to, including Jim and I, of course. Anyways, thank you so much for a super insightful conversation. And yeah, as I mentioned, go and follow for sure, Adam's and Jim's work, and you will only be the wiser for it. And hopefully we'll continue these conversations because the world is truly both geopolitically driven but it's also driven by commodities at the moment. So stay tuned from Jim, Adam and me. Thanks ever so much for listening. We look forward to being back as we continue our global macro series. And in the meantime, as usual, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged.

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